Crumb & Co.
ARTISANAL HOME BAKERY • CHENNAI

CAPSTONE EVALUATION SUMMARY

Can AI help write a first-draft business plan, and which parts are most likely to be wrong?

An empirical audit evaluating automated unit economics, pricing validity, and regulatory compliance for a home bakery startup.

[PLACEHOLDER: my name and date]
MBA / Business Capstone Project

Chennai, India

NOTES: *Welcome to my capstone evaluation testing AI's draft viability for Crumb & Co., a Chennai home bakery.*

The Core Inquiry

Large Language Models generate instant financial pro-formas, but localized operational blindspots and hallucinated pricing risk failing real-world execution.

Startup Budget
Rs 1,00,000

Primary Medium
Insta / WhatsApp

BUSINESS PROFILE

Crumb & Co. Business Concept & Strategy

Startup Budget: Rs 1,00,000

Concept & Value Prop

A home-based artisanal bakery in Chennai producing fresh, premium 100% eggless baked goods for special occasions and daily treats.

PRIMARY ADVANTAGE

Dedicated eggless menu meeting local dietary preferences in Chennai.

Product Lineup

4 Key Offerings

- **Eggless Cakes**
  1/2 kg & 1 kg options
- **Brownie Boxes**
  Pack of 6 pieces
- **Cookie Boxes**
  Pack of 10 pieces
- **Gift Hampers**
  Custom occasion sets

Target Customers: Families, college students, office orders, and birthdays.

Order & Sales Journey

1. **Discovery:** Instagram posts, reels & campus word-of-mouth.
2. **Conversion:** Direct WhatsApp chat for custom order sizing.
3. **Fulfillment:** Fresh home baking & direct doorstep dispatch.

Instagram + WhatsApp Direct Orders

SPEAKER NOTES: *Crumb & Co. targets Chennai households and students with a 100% eggless menu. Sales operate leanly via social media and messaging, supported by a Rs 1,00,000 startup budget.*

FINANCIAL ANALYSIS & VISUALIZATIONS

Startup Capital & Product Price Benchmarks

Avg Order Value: Rs 667 | Margin: Rs 359

Startup Budget Allocation (Rs 1,00,000)

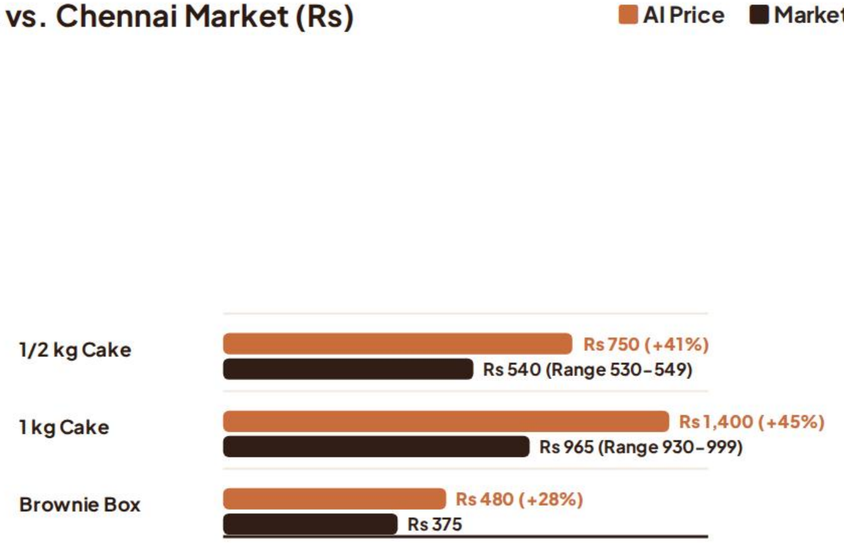
5 Categories



Equipment	Rs 35,000 (35%)
Licensing & Pkg	Rs 20,000 (20%)
Opening Stock	Rs 15,000 (15%)
Marketing / Photo	Rs 15,000 (15%)
Cash Reserve	Rs 15,000 (15%)

Key Insight: Equipment forms the largest initial outlay (35%), followed by licensing/packaging.

AI Draft Price vs. Chennai Market (Rs)



Pricing Anomaly: AI cake prices are **37% to 51% higher** than verified local Chennai competitors.

Contribution / Order (after 8% waste):	**Rs 359**
Break-Even Orders / Month:	**17 (no pay) | 58 (Rs 15k pay) | 86 (Rs 25k pay)**
Payback Horizon:	**~Month 8 (Ramp 9 to 28 orders/wk)**

SPEAKER NOTES: *The AI model generated realistic startup budget splits, but significantly over-priced products compared to Chennai market benchmarks. Orders must ramp from 9 to 28/week to break even by Month 8.*

AI VERIFICATION DASHBOARD

Flaws, Discrepancies & Fact-Checking Audit

⚠ 6 Key AI Errors Uncovered

ISSUE CATEGORY	AI DRAFT CLAIM / FIGURE	EVIDENCE / VERIFICATION STATUS	CORRECTIVE ACTION
FSSAI Licensing	Rs 20,000 licensing budget; cited outdated **Rs 12 lakh** exemption limit.	✕ FSSAI fee is ~Rs 100. New limit is **Rs 1.5 crore** (w.e.f. Apr 2026).	Reallocate Rs 19,900 to packaging inventory.
Market Pricing	1/2 kg Cake @ Rs 750; 1kg Cake @ Rs 1,400; Brownies @ Rs 480.	✕ **37%–51% above local Chennai listings** (Rs 530–549 & Rs 930–999).	Adjust pricing to market parity (Rs 540 / Rs 950).
Cost Formulas	All product costs fall artificially inside a rigid 35% to 40% "target range".	✕ Back-solved math rather than recipe-based ingredient costing.	Build bottom-up recipe cost sheets.
Operational Costs	Gas & electricity budget set at Rs 2,500/month; mismatch in fixed costs.	✕ Below 1 commercial LPG cylinder (~Rs 2,984); fixed costs clash (Rs 4.3k vs Rs 5.8k).	Update utility overheads to Rs 3,500+.

Audit Risk Summary: AI models provide polished structure but exhibit hallucinated pricing and outdated statutory rules. Unverified reliance would lead to severe margin compression and competitive mispositioning in Chennai.

SPEAKER NOTES: *Fact-checking revealed major inaccuracies in the draft: outdated regulatory limits, unitemised licensing budgets, and product prices over 40% above local market benchmarks.*

AUDIT METHODOLOGY & WORKFLOW

Human-in-the-Loop AI Verification Pipeline

5-Stage Audit Pipeline

1 — Draft with AI
Build initial structure & baseline formulas via prompt library.

2 — Find Sources
Check official statutory portals (FSSAI) & utility rate cards.

3 — Market Audit
Build price tracker comparing real Chennai competitor rates.

4 — Reconcile Math
Re-model revenue sheet in Google Sheets & log errors.

5 — Peer Review
Obtain mentor feedback & finalize verified plan.

Verification Log & Tools Used

Claim / Item	Evidence Source / Tool	Audit Status
FSSAI Exemption Limit	Official FoSCoS Gazette (Apr 2026)	✅ Corrected to Rs 1.5 Cr
Menu Pricing	Chennai Price Tracker (Local Bakeries)	✅ Adjusted Down ~40%
Peer Review Feedback	Mentor/Peer Review Session	[PLACEHOLDER: one line feedback]
Audit Tool Suite	[PLACEHOLDER: list at least 4 tools used]	

Drafting Time Comparison

Without AI: [PLACEHOLDER: mins]

With AI: [PLACEHOLDER: mins]

SPEAKER NOTES: *I established a 5-step human-in-the-loop workflow using Google Sheets and a local price tracker. AI reduced baseline drafting time, but required rigorous verification across all financial assumptions.*

SUMMARY & LESSONS

Strategic Takeaways & Core Recommendation

Capstone Conclusions

1. AI Core Strength

AI excels at rapid structural drafting, standard accounting arithmetic, and organizing broad business plan frameworks.

2. Critical Weaknesses

AI is notoriously unreliable for localized pricing, evolving legal rules (FSSAI), and verifying its own underlying assumptions.

3. Human Mandate

Treat every confident AI number as an unverified hypothesis. Verify licenses, competitor prices, and ingredient costs first.

FINAL RECOMMENDATION

"Use AI to accelerate structure and formatting, but never trust its micro-economics. Ground every number in primary local market evidence before committing real capital."

Thank You • Q&A Ready

Crumb & Co. Capstone Evaluation

SPEAKER NOTES: *In summary, AI acts as a fast co-pilot for structure, but human verification is non-negotiable. Always audit local prices, regulatory limits, and operational costs before launch.*